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Banking in ancient India

Rudimentary banking activities were carried out in India 3500 years ago (1500 CE). Interest earning and usury (unreasonable interest) were prevalent during the Vedic period. 1200 years before (8th century CE) the following concepts were in practice in Tamil Nadu: Patru-debit, Varavu-credit, Selavu-expenditure, Laabam-profit, Nashtam-loss, which all collectively known as 'Iynthogai'-trial balance-. 'Peredu' referred to Ledger



Bronze coins used during Raja Raja Chola Period 985-1014 CE

ii. The General Bank of India was established in 1786 and was also liquidated in 1791.

iii. Bank of Calcutta was the first joint stock bank established in 1806. It was renamed as the Bank of Bengal in 1809.

iv. Bank of Bombay in 1840 and Bank of Madras in 1843 were established."These banks are called Presidential Banks"(Bengal, Bombay and Madras only)

1881witnessed the birth of 'Audh Bank' , which was later renamed into Punjab National Bank in 1894 (19-05-1894).

These Presidential Banks were amalgamated into the Imperial Bank of India on 27 January 1921. It confined its operations to the urban sector and rural sector was completely neglected in those days. Therefore, after Independence, an Act was passed in Parliament to take over the Imperial Bank of India by the Government and State Bank of India came into being on July 1, 1955.

Stamp of Imperial Bank of India



10.4 Bank Definition

According to Banking Regulation Act 1949, "Banking means the accepting for the purpose of lending or investment of deposits of money from the public, repayable on demand or otherwise and withdrawable by cheque, draft, pay order or otherwise".



14 Banks were nationalised in India in the year 1969

6 Banks were subsequently nationalised in India in the year 1980

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